

bypass funds to invest directly in PE. Phalippou and Gottschalg (2009) estimate gross-of-fee alphas to be approximately 4%. If asset owners can keep most of these fees, PE becomes much more attractive.⁴⁴ However, it requires good governance and the ability to hire skilled teams to do in-house PE investing (see chapter 15). You also need to be big to do PE investing in-house. Once you have built the required resources there are *increasing economies of scale*; Dyck and Pomorski (2011) and Andonov et al. (2011) show that the biggest asset owners significantly outperform the small ones in PE investments.

We are seeing fees on PE gradually being nudged down. This comes about from the action of diligent leaders like Loftis, who is putting the PE fees paid by South Carolina's pension fund under a microscope. Groups of large asset owners, like the Institutional Limited Partners Association, have also issued guidelines putting pressure on fees and improving PE fund governance.⁴⁵

There is a limit on how much fixed fees can come down given the current structure of PE contracts; the high annual management charge on committed capital should be removed entirely. A better structure would be to raise the committed capital upfront (like a hedge fund), where it is invested in (potentially levered) public equities. This public portfolio serves as the benchmark, so the equities might be tilted toward illiquid stocks, small stocks, and stocks with a value orientation. The cost for this passive portfolio should be similar to index funds—that is, low, with a little bit extra to cover firm operating expenses. As GPs find private companies to invest in, they shift money from the public equity portfolio to private investments. Incentive fees ensure that they get paid only if these companies are successful and deliver returns in excess of the public equities benchmark. (See also chapter 14 on factor investing.)

4.3. KNOCK-ON EFFECTS

The cost of PE contracts is more than just the high fees paid. The opaqueness and complexity of contracts

1. Increases the risk of blowups;
2. Makes asset-liability planning more difficult;
3. Hinders liquidity management;
4. Distorts economic value;
5. Tends to maximize, rather than minimize, information asymmetry and consequently increases agency costs;
6. Makes leverage costlier, since it is usually cheaper to do leverage in house with better risk management than in a third-party, nontransparent vehicle; and
7. Increases operational, headline, and reputation risk

⁴⁴ See Fang, Ivashina, and Lerner (2012).

⁴⁵ Private Equity Principles: Version 2.0, Institutional Limited Partners Association, January 2011.